Software Will Eat AI

Software is already eating AI

Equities
Software

United States

- We believe software will be the primary mechanism for the diffusion of AI across the world's largest enterprises
- Foundation models and vibe-coding are not replacements for software within an enterprise for their main IT platforms
- We see 2026 as the kick-off for monetization within software

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Software is how the world's largest companies controllably leverage AI

In this note, we summarize some of the main points laid out in our 8-page *Can AI replace software?* (9 February 2026), where we detailed many of the technical and business issues that make the erosion of software very unlikely, in our view.

- Foundation AI models are inherently flawed, technically, and are not suited for a "lift-and-replacement" of major software platforms. While there are limited cases where this is appropriate, like an image creation program or small software app, this is not realistic for the majority of high-fidelity enterprise class platforms, in our view.
- Vibe-coding shifts the burden of intelligent design to the coder, and would-be startups, foundation model vendors, and consumer platform players (e.g., Alphabet, OpenAI, Anthropic) have little to no experience creating "enterprise class" software in the various silos within the software stack. They would be architecting from scratch in unfamiliar highly complex areas.
- Enterprise-class software has evolved over the decades to be almost error-free with high throughput and reliability. This critical and private IP is not trainable on the public internet. Thus, a "from scratch" project would be decades behind on the hardest part of the project (the overall architecture) and vibe-coding provides little benefit if you don't know what you're coding.
- Even if a would-be vibe coding company could architect a comparable solution and one had the code in-hand, there are many factors that determine which software platforms dominate and compete effectively. It is extremely difficult for new competitors, even with better or free solutions, to displace an incumbent vendor that is running the day-to-day operations of a global enterprise that is accountable to its shareholders and the markets.
- Major enterprise-class software companies have been using the same vibe-coding tools to embed distilled intelligent agents into their broad platforms. These AI-powered agents are experts in narrow domains and can be deployed in a controllable fashion that mitigates the native technical hurdles of foundation models. We think that enterprise software vendors themselves are the best positioned to leverage AI within the enterprises responsible for the production of global GDP and see 2026 as the kick-off for monetization.

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As good as Hardware/Semi has been, Software will be better

- Enterprise software will not be threatened by AI, in our view, but rather, AI will be embedded within software platforms
- Enterprise software vendors have been doing the heavy lifting of designing, vibe-coding, and beta testing of embedded agents
- Software valuation levels are at historic lows, even though the sector is poised to expand massively

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Within a full-blown enterprise application, we think AI is destined to be subordinate to the overall software platform. AI encompasses the creative analysis and production of intelligent data, and that data is passed to the software stack to be processed, stored, checked, formatted, presented, or actionized (to name a few) in a *deterministic* fashion. Thus, in large enterprise application platforms, we see subordinated AI (inherently non-deterministic; think errors and different answers to the same question) as simply a part of an overall solution and it is likely to be subjugated across applications by embedding intelligent agents within the numerous enterprise platforms. These intelligent agents will likely be relegated, in a targeted fashion, to *domain-specific* high-value tasks that are difficult to codify and are better handled by a thinking entity. Thus, we believe that the far majority of enterprise software will not be threatened by AI, but rather AI will be domesticated within the application stack via agents and will create tremendous value in doing so.

The world is used to software platforms that are repeatable, auditable, and error-free in their day-to-day operations, and foundation models offer *none* of these attributes. However, smaller manageable agents can be ringfenced with code to account for these deficits and make them appropriate for embedding within an overall, more complex, software platform. In this way, software platforms provide the reliability, fidelity, auditability, and scalability features that platform systems require (i.e., table stakes), and embedded agents provide the added intelligence into the business platform in a controlled manner.

Major software vendors like Buy-rated Salesforce, Oracle, ServiceNow, and Microsoft have been doing the heavy lifting of designing, vibe-coding, and beta testing of embedded agents. We think that most started in 2024 and are now at a point of maturity where these embedded agents are being rolled out to their large global customers. We see this as the primary mechanism from which the world's largest enterprises will consume AI and, in doing so, drive the consumption of AI inference by order/orders of magnitude, justifying the tremendous build-out of AI data centers rolling out across the globe. In our view, this is the primary consumption track and how AI diffuses across the world's largest enterprises.

***Software vendors* are best suited for creating *Software* with AI:** Another angle being discussed by investors is that AI will write software that will compete and displace incumbent vendors. Who is this AI writing code? Startups can *use* AI, but don't have the many success attributes and IP needed to compete. Large LLM model vendors are intensely focused on foundation model innovations and also lack the many success factors needed to win against or displace incumbents. And companies using AI to write their own applications is not practical, realistic, or economically sound. However, we have identified a party that **is** best suited to use AI to generate software that is better than existing legacy vendors. And, of course, that is **the software vendors themselves**. They have domain expertise, robust sales channels, trusted relationships, cross licensing, and legions of coders that are now more productive at creating new code by using new AI apps/tools. Finally, there are many factors that make up a successful software company and coding is just one factor. Displacing an incumbent software vendor is very difficult, even with a better or cheaper offering.

Companies gave up writing their major IT systems decades ago

In the 80s and 90s, many companies were forced to write their own code to run their operations simply because the robust systems that we use today did not exist. However, Economics 101 soon prevailed and companies began to outsource this task to centralized enterprise software vendors. They soon realized that internally developing, maintaining, and staffing these systems was expensive and that writing massive platforms once and spreading the cost across a use case of one (i.e., just using it themselves) was not cost effective. However, buying from a software vendor with expertise in developing, maintaining, and staffing was much more economical as these costs could be spread across thousands of customers.

This is the same reason why a PC company doesn't design its own bespoke chips and software, produce its own copper and wire or steel and computer cases. Companies focus on what they are most efficient at … say pharmaceutical development and outsource software. Thus, we don't see a return to the 80s anytime soon, where highly skilled mining companies decide to dedicate resources to develop vibe-coded software platforms. Not only would they likely result in higher production cost than their commodity competitors outsourcing to enterprise software vendors, but good luck finding, hiring, and retaining the highly skilled AI-savvy IT folks. It is hard enough to hire non-AI skilled IT staff let alone keep them.

Who will win?

Thus, we see the legacy enterprise software vendors as among the key beneficiaries and diffusion paths for unlocking the value-creation potential of AI within the production of the +USD100trn global GDP ecosystem. The software model is predicated on a perceived value model where value creation is shared between the end-user (company) and the provider of the solution (software vendor) that unlocks that value creation. Thus, we think the software vertical is positioned in front of a massive expansion in TAM (total addressable market) in a cycle that will build to new levels over the next 5-10 years. The massive deployment of GPUs/TPSs is just the foundation for these AI-powered systems to run on and provide solutions to real business problems. AI is a technology and companies rarely buy technology. They buy solutions to business problems, and these solutions come from the infinitely flexible software stack.

And as profitable as AI has been for the hardware/semiconductor sectors, we see the lion's share of value being generated within the software sector – a sector that has been planning and building agentic AI for the past two years, with a kick-off in 2026. Thus, building/expanding select positions within the software vertical prior to a re-rating may be timely. Sector valuations are at historical lows, even though we believe the sector is poised to expand massively and we see strong demand momentum lasting for the foreseeable future.

Comparative valuation

Company	Ticker	Rating	CMP (USD)	TP (USD)	CY25e	CY26e	CY25e	CY26e	CY25e	CY26e	CY25e	CY26e	CY25e	CY26e
Oracle	ORCL US	Buy	148.08	364.00	21.5	20.7	27.8	31.1	19.7	18.1	28.0	24.7	8.5	7.6
Autodesk	ADSK US	Buy	226.98	379.00	21.8	18.6	40.2	27.7	17.8	14.7	29.2	21.3	6.8	5.7
Akamai	AKAM US	Buy	94.17	134.00	13.1	12.5	26.3	23.4	12.6	11.4	24.3	23.5	3.8	3.4
Salesforce	CRM US	Buy	185.16	336.00	15.6	14.0	24.2	22.1	12.3	10.1	19.8	16.2	4.2	3.6
CrowdStrike	CRWD US	Buy	388.60	446.00	104.5	79.6	NM	NM	91.4	65.2	NM	NM	19.8	15.9
CoreWeave	CRWV US	Reduce	89.25	41.00	NM	NM	NM	NM	78.1	32.3	NM	N.M.	11.2	5.8
Cisco	CSCO US	Hold	79.20	77.00	19.9	18.5	28.7	26.1	16.3	14.9	32.1	21.6	5.6	5.1
Fair Isaac	FICO US	Reduce	1,350.45	1,302.00	43.0	29.4	50.0	34.2	31.2	21.6	36.6	25.0	17.4	12.9
Fortinet	FTNT UW	Hold	80.00	84.00	29.0	26.6	33.0	30.8	23.6	21.3	27.3	24.7	8.4	7.2
Alphabet	GOOG US	Buy	314.90	385.00	25.1	23.3	29.0	27.8	24.4	19.8	29.1	23.7	9.3	7.8
HP	HPQ US	Buy	18.59	29.30	5.9	5.3	6.9	6.5	5.8	5.3	7.6	6.3	0.4	0.4
IBM	IBM US	Reduce	257.16	218.00	22.2	21.1	23.1	25.6	20.6	19.3	24.6	22.8	4.3	4.1
Intuit	INTU US	Buy	380.55	971.00	17.6	14.9	25.8	22.4	13.5	11.1	20.6	16.7	5.4	4.4
Microsoft	MSFT US	Buy	397.23	588.00	25.8	21.6	24.9	22.2	20.4	17.1	20.4	17.1	9.5	8.0
ServiceNow	NOW US	Buy	104.27	226.00	29.7	24.4	62.4	42.9	24.2	18.6	55.1	34.7	7.6	5.9
Palo Alto Networks	PANW US	Reduce	148.70	114.00	40.1	41.0	82.2	83.1	35.3	32.8	72.6	71.1	10.4	9.5
Palantir	PLTR US	Buy	135.24	205.00	181.1	94.0	NM	109.9	150.7	75.7	NM	111.0	75.9	45.1
SAP (EUR)	SAP GR	Hold	173.80	187.00	28.5	25.0	27.8	25.9	19.3	17.0	20.4	17.6	5.5	5.0
TE Connectivity	TEL US	Buy	234.73	274.00	24.6	21.4	33.8	22.5	20.2	17.1	26.7	18.0	4.1	3.6
Twilio	TWLO US	Hold	113.14	124.00	23.8	21.2	167.8	82.6	18.1	15.0	105.6	51.4	3.3	2.9
Zoom	ZM US	Buy	90.29	109.00	15.1	14.7	18.7	24.2	10.1	8.7	17.9	15.7	4.1	3.5

Source: Company data, HSBC estimates. Priced as at close 20 February 2026

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